

How to Pick a Good Company

Based on Pulak Prasad, *What I Learned About Investing from Darwin* (2023)
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Core Philosophy

Investing is evolution: **Survive first, maximize second.**

Three pillars:

1. **Avoid big risks** — Not losing money matters more than making money
 2. **Buy high quality at a fair price** — Only buy businesses fit to survive
 3. **Be very lazy** — After buying, barely move; let compounding work
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Pillar 1: Avoid Big Risks

"In evolution, as in investing, the penalty for fatal mistakes is extinction."

Type I Errors (Fatal Mistakes) — Must Avoid

Losing 50% requires gaining 100% just to break even. A single large loss can wipe out years of small gains.

Kill List (Exclusion Criteria)

If any of the following is triggered → **Reject immediately, do not analyze further:**

#	Exclusion Criterion	Rationale
1		

#	Exclusion Criterion	Rationale
	Dishonest controlling shareholder/management	Cheated once, will cheat again. Unfixable.
2	High debt/leverage	Amplifies downside; lethal in downturns
3	Serial acquirers	Destroys value far more often than creates it
4	Rapidly changing industry	Today's winner is tomorrow's loser
5	Turnaround situations	Most distressed companies stay distressed
6	Misaligned interests	Management/major shareholders vs. minority
7	State-owned enterprises	Non-market decisions; shareholders come last
8	Over-dependence on single customer/product	Concentration risk; lose it and collapse
9	Complex/opaque business model	What you can't understand, you can't assess
10	History of fraud/manipulation	Culture doesn't change

In Practice

- Run the Kill List **before** any analysis
- If any criterion is triggered → Stop. Move on.
- Better to miss a good opportunity than to buy a bad company

Pillar 2: Buy Quality at a Fair Price

"In investing, as in Siberia, only the fit survive."

What Is "High Quality"?

The core measure of a company's "survival fitness" is **ROCE/ROIC (Return on Capital Employed/Invested)**:

$$\text{ROCE} = \text{EBIT} / \text{Capital Employed}$$

Sustained high ROCE implies the simultaneous presence of:

1. A Strong Moat

Excess returns not eroded by competition → structural barriers exist.

Moat Type	How to Identify
Brand	Can it charge a premium? Do consumers refuse substitutes?
Network effects	Does value increase with each additional user?
Switching costs	How expensive is it for customers to leave?
Cost advantage	Scale/process/geographic structural cost leadership?
Supply constraint	Capacity/license/resource that cannot be replicated?

2. Excellent Management

Mediocre management cannot sustain high ROCE long-term. Check: -
Capital allocation discipline (no empire-building, no reckless M&A) -
Integrity track record (do what they say, transparent disclosure) - Long-term orientation (won't sacrifice long-term value for short-term numbers) -
Aligned incentives (ownership, compensation structure)

3. Financial Strength — Cash Cow

- Abundant free cash flow (FCF ≈ or > Net Income)
- Low or zero debt
- Can grow without external financing

- Dividends + buybacks demonstrate real earnings power

4. Sustainable Growth (Self-Funding)

- Organic growth > acquisition-driven growth
- Ample reinvestment runway (high ROCE + long growth runway = perfect compounding machine)
- Industry structure supports long-term growth

Don't Overpay for Quality

"Even the best company becomes a bad investment if bought too expensively."

- Don't rely on precise DCF models ("Darwin ate my DCF")
- The future is unknowable; don't pretend to forecast 10-year cash flows precisely
- Use **margin of safety** instead of point estimates
- Focus on: PE relative to history, FCF yield, peer comparison
- Buy during market panic / temporary difficulties → good companies mis-priced by Mr. Market

Don't Confuse a Green Frog for a Guppy

- Surface similarity ≠ underlying quality
- Deep-dive into business model, competitive dynamics, management quality
- Don't be seduced by headline growth rates or narratives
- Triangulate: multiple sources, seek disconfirming evidence, use checklists

Pillar 3: Be Very Lazy

"Sometimes, the best investment decision is to do nothing."

Why Inactivity?

Reason	Explanation
Compounding needs time	Frequent switching interrupts compounding
Transaction costs	Every trade has friction (tax, commission, spread)
Behavioral errors	More activity → more mistakes
Information illusion	More information ≠ better decisions

Punctuated Equilibrium Investing

From Eldredge & Gould's evolutionary theory: species remain stable most of the time, with sudden bursts of change.

Invest the same way: - **95% of the time: Do nothing** — Hold quality companies, ignore noise - **5% of the time: Act decisively** — Buy only at extreme undervaluation or sell when thesis breaks

When to Sell (Rare Occasions Only)

Sell Condition	Explanation
Moat permanently impaired	Irreversible competitive shift
Management integrity breach	Once trust is broken, no second chance
Original thesis proven wrong	You were wrong; admit it and exit
Do NOT sell for short-term earnings miss	Good companies have bad quarters
Do NOT sell because price dropped	Price ≠ Value

Behavioral Bias Defense (Don't Be Pavlovian)

"In investing, as in life, reflexes can be dangerous."

Bias	Countermeasure
Panic selling	Pre-set rules: sell only when thesis breaks
Chasing momentum	Act contrarian: be greedy when others are fearful
Anchoring	Regularly reassess; don't anchor to purchase price
Herding	Think independently; actively seek opposing views
Overconfidence	Keep a decision journal; review post-hoc

Decision Flowchart

Investment Decision Process:

[1] Kill List check → Any trigger? → REJECT

↓ Pass

[2] ROCE consistently >15%? (5+ years) → No? → REJECT

↓ Yes

[3] Moat source clear and sustainable? → Unclear? → REJECT

↓ Yes

[4] Management integrity + competence? → Doubt? → REJECT

↓ Yes

[5] Valuation reasonable? (not bubble) → Too expensive? → WATCHLIST

↓ Fair

[6] BUY. Then be very lazy.

One-Line Summary

**Avoid bad companies at all costs. After buying good ones,
avoid selling at all costs.**

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